

EXAMINERS' COMMENTS ON THE PERFORMANCE OF THE EXAMINEES

PAPER – 4: COST AND MANAGEMENT ACCOUNTING

Specific Comments

Question 1.(a) This numerical question requires to calculate the total cost per batch, determine the minimum fee per student in a batch to cover costs and the fee to be charged from each student to achieve a profit margin of 25% on the fee. Overall performance of the examinees was **Good**.

(b) This numerical question was based on 'Cost Accounting System' and the requirement of the question was to prepare a reconciliation statement Overall performance of the examinees was **Above Average**.

(c) It is a numerical question based on 'Marginal Costing'. The requirement of the question was to advise the company whether the offer for additional order at a reduced selling price should be accepted. Overall performance of the examinees was **Poor**.

Question 2(a) This numerical question was based on 'Cost Sheet'. Examinees were asked to prepare Cost Sheet for two – month period. Overall, **Above Average** performance was observed.

(b) This numerical question was based on 'Employee Cost and Direct Expenses'. The question required examinees to calculate the labour cost chargeable to job and overheads in given situations. Overall performance of the examinees was **Below Average**.

Question 3.(a) This numerical question was based chapter 'Activity Based Costing'. The requirement of this question was to compute the cost of two product based on traditional absorption costing system and Activity Based Costing System. Overall performance of the examinees was **Average**.

(b) This numerical question was based on 'Budget and Budgetary Control'. The requirement of the question was to prepare a flexible budget at different activity levels. Most of the examinees performed well, hence the overall performance was **Good**.

Question 4.(a) This numerical question was based on 'Standard Costing'. This question required the examinees to calculate material and labour variances. Overall performance of the examinees was **Average**.

(b) In this numerical question examinees were asked to explain the concept of Build operate Transfer (BOT) approach and classify few given expenses in Capital Cost or Operating and Maintenance Cost for Toll Roads. Overall performance of the examinees was **Average**.

Question 5.(a) This numerical question was based on 'Overheads'. The requirement of this question was to compute the machine hour rate for each machine. Overall performance of the candidate was **Average**.

(b) This was a numerical question related to different aspects of Marginal Costing. Examinees were required to prepare a detailed statement showing overall contribution and profit of the company after accepting the dealer's proposal. Overall performance of the candidate was Below **Average**.

Question 6.(a) This was a theoretical question to describe five benefits of Digital Costing System. Overall performance of the examinees was **Poor**.

(b) In this theoretical question examinees were required to define various terms such as controllable variance, uncontrollable variance, budget manual, performance budgeting and budget period. Overall performance of the examinees was Below **Average**.

(c) This theoretical question required examinees to discuss the treatment of by-products in cost accounting. Overall performance of the examinees was Below **Average**.

OR

Internal Choice Question

This theoretical question requires the examinees to define job costing and explain the differences between job and batch costing. Overall performance of the examinees was **Below Average**.

PAPER – 5: AUDITING AND ETHICS

Specific Comments

Question 1.(a) Facts Which Become Known to the Auditor After the Date of the Auditor's Report but Before the Date the Financial Statements are Issued: Majority of the examinees could not conclude correctly that the auditor has no obligation to perform any audit procedures regarding the financial statements after the date of the auditor's report. Examinees simply mentioned

new auditor's report without explaining that the date of the new audit report should not be earlier than the date of approval of the amended financial statements.

(b) Sample Selection Methods: Examinees were able to identify the correct sample selection methods applicable in the given situation, however, explanations provided for the same was not correct. A few examinees mixed up stratified sampling with Random sampling, while some examinees mixed up Block sampling with Interval sampling.

(d) Reporting responsibility of the auditor under paragraph 3 of CARO, 2020: The examinees lacked knowledge of the reporting responsibility of the auditor about statutory dues as per clause (vii) (a) and (vii) (b) of Paragraph 3 of CARO, 2020. Many examinees failed to correctly state the reporting requirements in the case of arrears of undisputed and disputed statutory dues.

Question 2.(a) Inquiries of Management and Others Within the Entity: Examinees failed to explain procedures that can be applied while undertaking test of control in understanding whether internal control system was operating in the company. Many of them were not able to correctly identify that the Re-performance procedure is applicable in the given case.

(c) Disclosure of Ratios as per Schedule III of the Companies Act, 2013 and its rules: Most of the Examinees could not mention required ratios correctly. Some Examinees listed out ratios like gross profit ratio, liquidity ratio and other irrelevant ratios which were not mandated in Schedule III of the Companies Act, 2013. Whereas, few examinees could not explain the rules relating to disclosure of ratios.

(d) Inter-relationship between audit strategy and audit plan: Most of the examinees failed to give the relevant points expected from them. Few Examinees tried to explain the concepts more individually rather than establishing a relation between the two.

Question 3.(a) Identifying the components of Internal control: Examinees were not able to identify and explain the correct component of internal control applicable to the two given cases. Few examinees mixed up 'Monitoring of controls' with 'Monitoring activities', while few of them listed all the components of internal control in a general manner, while others reproduced the explanation given in the question.

(b) Items not forming part of Audit documentation: Majority of the examinees correctly concluded that filing of draft inventory sheet is not proper. However, they failed to list out the items which are not to be included in audit documentation. Few of them misunderstood the question and listed the items which form part of audit documentation.

(c) Out of Order in the case of cash credit account: Most of the examinees could not explain the conditions for a cash credit account to be treated as out of order. Some of the examinees gave general answers for an account to become NPA.

Question 4.(c) Appropriate and Inappropriate Phrases while drafting an Unmodified Opinion: Examinees have not understood the requirement of the question and have given irrelevant answers with regard to modified opinion. While drafting an unmodified opinion, examinees mentioned about "true and fair view" but failed to mention "present fairly in all material respects" with regard to appropriate phrases.

(d) Special report to the Registrar of Co-operative society: Majority of the examinees discussed all types of irregularities in a general manner rather than covering specific points while reporting special matters for reporting to the Registrar when serious irregularities are noticed.

Question 5.(a) Review of the audit programme: Many Examinees have given only correct conclusion regarding the use of previous year's audit programme but failed to discuss the utility of periodic review of audit programme. Few examinees have given general answers on advantages and disadvantages of audit programme instead of focusing on periodic review of audit programme.

(b) Evaluating the work of an actuary-expert: Majority of the examinees gave relevant points about evaluation of competence, capabilities and objectivity of actuary- expert, however, failed to mention regarding obtaining an understanding his work.

(c) Use of Digital Technology in the conducting an audit: Many examinees discussed the general benefits of digital technology instead of focusing on how it is helpful to auditors.

Question 6.(a) Audit of Provisions and contingencies in Bank: Examinees were not able to describe the specific points in respect of provisions and contingencies in different situations.

Alternative

(a) Meaning of Deficiency in internal control and communication of significant deficiency: Very few examinees could write about the meaning of deficiency in internal control and their discussions with regard to the appropriateness of communication of significant deficiency, were also incorrect.

(c) Positive confirmation request and course of action: Majority of the Examinees have a fair idea on the positive confirmation request and the course of action to be taken by the auditor on the confirmation received. However, most of the examinees failed to discuss "exception" when the response indicated a difference.

(d) Points to be noted while examining a lease agreement: Most of the examinees failed to understand the question and written the conditions of financial lease to be verified.

PAPER – 6: FINANCIAL MANAGEMENT & STRATEGIC MANAGEMENT**SECTION A – FINANCIAL MANAGEMENT****Specific Comments**

Question 1.(a) This was a numerical question on Calculations Contribution, Margin of Safety of two Companies N Ltd and C Ltd and Sales of C Ltd. Overall performance of the examinees was **Good**.

(b) This was a numerical question requiring examinees to calculate the working capital requirement using the operating cycle method. Many examinees lacked knowledge of calculating operating cycle and those who calculated the operating cycle correctly could not identify the operating expenses to be considered for calculation of working capital requirement. The performance of the examinees was **Average**.

(c) This was a numerical question on Ratio Analysis. Examinees are required to complete the balance sheet of the company. Overall performance was **Good**.

Question 2.(a) This was a numerical question based on calculation of cost of equity share capital, preference share capital, and debentures then calculate the Weighted Average Cost of Capital (WACC) of the company using market value weight. Many examinees failed to use the YTM method as required in

the question for calculation of cost of debentures. The performance of the examinees was **Above Average**.

(b) This was a theoretical question on 'Angel Financing'. Most of the examinees exhibited lack of knowledge of the concept. The performance of the examinees was **Below Average**.

Question 3.(a) This was a numerical question based on Deciding Best Credit Policies. Most of the examinees failed to consider the savings in cost due to extra credit given by creditors while calculating the net opportunity cost of receivables. The performance of the examinees was **Below Average**.

(b) In this numerical question, examinees were required to advise best capital raising option. Most of the examinees failed to consider the present earnings of the company for the calculation of EPS and market price under two options, which resulted in wrong results. The performance of the examinees was **Poor**.

Question 4.(a) This was a theoretical question where examinees were required show two advantages and two disadvantages of raising finance by issue of debentures. The performance of the examinees was **Average**.

(b) In this theoretical question, examinees were required to list any four assumptions of Gordon's model. Most of the examinees could not explain the assumptions properly. Performance of the examinees was **Poor**.

(c) In this theoretical question, examinees were asked to explain leveraged lease. The performance of the examinees was **poor**.

OR

(c) This was a theoretical question requiring the examinees to state the remedies for Over capitalisation. The performance of the examinees was **poor**.

SECTION – B: STRATEGIC MANAGEMENT

Specific Comments

Question 5.(a) The performance was below average. While many examinees successfully identified the Network Structure, they faced difficulties in adequately explaining its merits and demerits.

(b) The performance was average. Examinees were able to correctly identify the Turnaround Strategy but struggled to describe the stages of the action plan in the correct sequence.

(c) The performance was poor. Most examinees were unable to identify the appropriate strategy, which affected their ability to explain its advantages and disadvantages. The responses were often vague and lacked clarity.

Question 6.(a) The performance was commendable. Most examinees demonstrated sufficient knowledge and provided clear explanations of the characteristics of objectives.

(b) The performance was above average. Examinees attempted this question appropriately and on expected lines.

Question 7.(a) The performance was poor, primarily due to a lack of understanding of the question. Many examinees provided vague and irrelevant responses.

(b) The performance was below average. While examinees agreed with the given statement, they were unable to clearly explain the circumstances under which the Stability Strategy is meaningful.

Question 8.(a) The performance was good. Many examinees effectively explained the common barriers that may restrain new entrepreneurs.

(b) The overall performance was above average. In the first option, examinees clearly explained the various types of strategic performance measures. However, in the second option, while most examinees satisfactorily addressed the pointers for navigating change during digital transformation, a few incorrectly described it as part of the general management process.